

The double bottom formed a head-and-shoulders top as a new pattern between the two bottoms. The neckline of that pattern was at 8.50.

After I bought, the stock made a symmetrical triangle with an upward breakout. That looked promising, but the stock reversed and headed lower. Here's the sale: "21 January 2003. I sold today because the stock has dropped through triangle apex support on a poor earnings announcement. Filled at 10.90 for a loss of 7%. Reason for sale: The symmetrical triangle didn't perform as expected, so it was time to get out."

Again, I was late buying into the stock, which cost me. The stock continued down to 6.25, a drop of 43% below where I sold. Fortunately, I sold promptly and kept the loss reasonable, at 7%.

- Lesson: Beware of earnings announcements. This one chopped the stock price almost in half. Even people who buy-and-hold should pay attention to earnings and earnings warnings. Often selling immediately is the correct choice.

Southwest Airlines

In late February 2002, Southwest Airlines (LUV) stock peaked at 22 and slid all the way down to 10.90 where it formed the first bottom of an Adam & Adam double bottom. The second bottom appeared about a month later, in mid-August. Two days after it bottomed, before confirmation, I was in there buying, trying to pull back on the stick to keep the airline from hitting ground. "16 August 2002. I bought at market open, filled at 12.45. I think this has bottomed even though UAL [United Airlines] might go bankrupt. It appears that this might be an Adam & Adam double bottom, providing prices climb above confirmation. That might be tough in the short term as the market is nervous and airlines are the pits. I'll buy more if this descends to 11 or so, maybe in Nov, then pray for a rise into the spring as airlines usually take off over that time."

Much to my surprise, the stock climbed and confirmed the double bottom. Yippee!

The stock threw back to the breakout price, as one might expect (they happen 67% of the time), except this one kept going down. And down. It